

An Act

ENROLLED HOUSE
BILL NO. 3985

By: Caldwell (Trey), Crosswhite
Hader, and George of the
House

and

Daniels, Stanley,
Gillespie, and Standridge
of the Senate

An Act relating to property; creating the Oklahoma Safe Neighborhoods Act of 2026; defining terms; providing rules for certain property owner or triple net leaseholder claims; requiring compensation for certain property damage; listing certain compensable damages; providing for compensation in lieu of claims for monetary damages; providing for how compensation should be determined; determining limits for compensation amounts; providing time period for acceptance or rejection of claims; providing procedural rules following the acceptance or rejection of claims; limiting the number of claims per year; permitting voluntary settlements; providing exceptions; providing for codification; and providing an effective date.

SUBJECT: Property

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1110 of Title 60, unless there is created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Oklahoma Safe Neighborhoods Act of 2026".

SECTION 2. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1111 of Title 60, unless there is created a duplication in numbering, reads as follows:

As used in this act:

1. "Affected government" means a city, town, or county to which a property owner is submitting a claim provided under this act;

2. "Fair market value" means the most likely price, estimated in terms of money, which land would bring if sold in the open market, with reasonable time allowed in which to find a purchaser, buying with knowledge of all the uses and purposes to which the land is adapted and for which the land is capable;

3. "Just compensation" means, for purposes of an action of diminution in value, the sum of money that is equal to the reduction in fair market value of the property resulting from the adoption of the policy, pattern, or practice or maintenance of public nuisance; and

4. "Property owner" means either the holder of fee title to real property, or a triple net leaseholder.

SECTION 3. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1112 of Title 60, unless there is created a duplication in numbering, reads as follows:

A. Notwithstanding any other law, a property owner located in a municipality with a population in excess of one hundred thirty thousand (130,000) people, as determined by the most recent Federal Decennial Census, may submit a claim for compensation in an amount determined pursuant to subsection B of this section if an affected government in which the real property is located adopts and follows a policy, pattern, or practice of declining to enforce existing laws, ordinances, or other legislation prohibiting illegal public camping, obstructing public thoroughfares, loitering, panhandling, public urination or defecation, public consumption of alcoholic beverages, possession or use of illegal substances, or shoplifting, or if the affected government in which the real property is located maintains a public nuisance, and either of the following occurs:

1. The property owner incurs documented expenses to mitigate the effects of such policy, pattern, practice, or public nuisance on the property owner's real property; or

2. The fair market value of the property owner's private real property is reduced by such policy, pattern, practice, or public nuisance.

B. The amount of compensation to which the property owner is entitled shall be, at the property owner's election, equal to either:

1. The documented expenses incurred by the property owner that were reasonably necessary to mitigate the effects of the policy, pattern, practice, or public nuisance on the property owner's real property; or

2. The reduction in fair market value of the property resulting from the government policy, pattern, practice, or public nuisance.

C. The compensation allowed under this section:

1. Is in lieu of any claim for monetary damages; and

2. May not exceed the amount the property owner paid in the prior tax year in primary property taxes to the affected government.

If the total amount of compensation determined pursuant to subsection B of this section is more than the amount the property owner paid in the prior tax year in primary property taxes to the affected government and the claim is accepted, the affected government shall pay the full amount of the primary property tax back to the property owner. The property owner may submit a claim for the remaining portion of the compensation in the following and successive tax years, until the full amount is repaid. No interest shall accrue on the unpaid amount.

SECTION 4. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1113 of Title 60, unless there is created a duplication in numbering, reads as follows:

A. Within thirty (30) days after a property owner submits a written claim for compensation to the affected government in a specific amount for reimbursement for mitigation expenses or just compensation, the affected government shall accept or reject the claim.

1. If the affected government accepts the claim, it shall pay the amount requested to the property owner.

2. If the affected government rejects the claim or does not respond to the claim within thirty (30) days, the property owner may file a cause of action in the district court of the county in which the real property is located to challenge the rejection of the claim. The questions of whether the property owner is entitled to the compensation and whether the amount of the claim is reasonable are judicial questions.

B. In a cause of action filed pursuant to paragraph 2 of subsection A of this section:

1. The affected government shall bear the burden of demonstrating that its actions are lawful or that the amount of the claim is unreasonable;

2. The property owner is not liable to the affected government for attorney fees or costs; and

3. A prevailing property owner shall be awarded reasonable attorney fees and costs.

C. No claim other than those expressly prescribed by this act shall require submission as a prerequisite to demanding or receiving reimbursement for mitigation expenses or just compensation pursuant to this section.

D. A property owner may only receive one repayment per calendar year under the provisions of Section 3 of this act.

E. If the policy, pattern, practice, or public nuisance remains in place after the property owner submits a claim pursuant to this section and there is demonstrable additional damage to the property, the property owner is entitled to additional compensation under this section in a subsequent tax year, unless the affected government and the property owner enter into a knowing and voluntary settlement, or the affected government ends the policy, pattern, or practice or abates the public nuisance.

F. The remedy established by this section is in addition to any other remedy that is provided by the laws and Constitution of Oklahoma or the United States and is not intended to modify or replace such remedies.

G. Nothing in this section prohibits the property owner from entering into a knowing and voluntary settlement with the affected government for an amount less than the property owner requested in the claim submitted pursuant to this act.

SECTION 5. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1114 of Title 60, unless there is created a duplication in numbering, reads as follows:

This act shall not apply to:

1. Decisions by city, town, or county authorities to exercise prosecutorial discretion not to prosecute alleged offenders if such discretion is exercised on a case-by-case basis and the justifications for each decision are published on a monthly basis by the city, town, or county;
2. Acts of executive clemency; or
3. Acts or omissions mandated by federal law.

SECTION 6. This act shall become effective November 1, 2026.

Passed the House of Representatives the 24th day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the 29th day of April, 2026.

Presiding Officer of the Senate

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____

Approved by the Governor of the State of Oklahoma this _____
day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____